

1% more every year = 24% more returns after 30 years thanks to compounding

You save a part of your income every month to build wealth for your future needs like down-payment for a house or car, child's education or building your retirement corpus.

But saving is only half the job done. You also need to invest wisely to make your money grow. And the returns you earn on your investment are equally important.

Compounding is nothing but extracting even that last bit of return from your money. Simply put, it is earning a return on the return.

For example, if you invest Rs. 10,000 and you get 10% p.a. as returns, you earn Rs. 1000 as interest at the end of the year. The next year, you earn 10% not only your invested amount (Rs. 10,000) but also on Rs. 1000; hence the interest you earn will be Rs. 1100. When you let this happen for years together, your savings start growing much more.